

### Company Overview

Hindustan Aeronautics is engaged in the business of Manufacture of Aircraft and Helicopters and Repair, Maintenance of Aircraft and Helicopters

### Key Financial Ratios Table

| Year | NPM % | ROE %   | D/E  | Interest Coverage | Asset Turnover | FCF (Cr) |
|------|-------|---------|------|-------------------|----------------|----------|
| 2024 | 25.0% | 3816.6% | 0.62 | 270.9             | 67.51          | 1814.0   |
| 2023 | 21.6% | 3283.1% | 0.27 | 130.3             | 99.37          | 3102.0   |
| 2022 | 20.7% | 3324.2% | 0.08 | 98.6              | 121.88         | -2609.0  |
| 2021 | 14.2% | 2249.3% | 0.04 | 21.4              | 123.02         | 13934.0  |
| 2020 | 13.3% | 2059.4% | 0.01 | 14.7              | 123.96         | 203.0    |
| 2019 | 11.7% | 1763.9% | 0.06 | 27.9              | 114.33         | -2402.0  |
| 2018 | 10.7% | 1528.5% | 0.02 | 120.6             | 111.56         | -140.0   |
| 2017 | 14.6% | 1966.9% | 0.02 | 267.5             | 105.59         | 2598.0   |
| 2016 | 11.9% | 1665.0% | 0.15 | 679.3             | 95.22          | nan      |
| 2015 | 15.2% | nan%    | nan  | 266.2             | nan            | nan      |

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## Qualitative Investment Insights

### Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

### Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility